

the year. That's when it happens. From having trading gains of over US\$2 million, we step on land mine after land mine, and not only do we lose the US\$2 million but an additional four! Yes, in a single month, you're responsible for losing US\$6 million! That stuff hurts. In an oddly familiar routine, the strategy gains again by the third quarter, and you very barely manage to recover the worst losses and end the year at a measly +3%. Another gain, but at what price? You saw very high volatility and a drawdown of 30%, and all you have to show for it is 3% (Figures 6.33–6.35).

When we found ourselves in that scary 20% hole in August, one of the sectors that really helped us get out of it was agriculture. Figure 6.36 showed

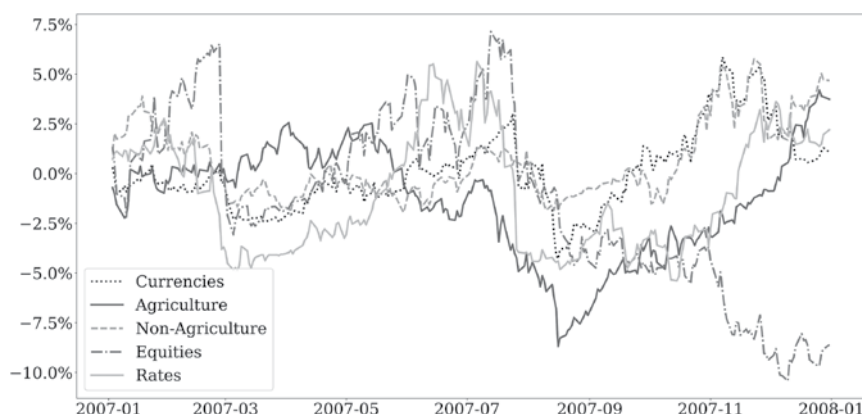


FIGURE 6.33 Sector performance 2007.

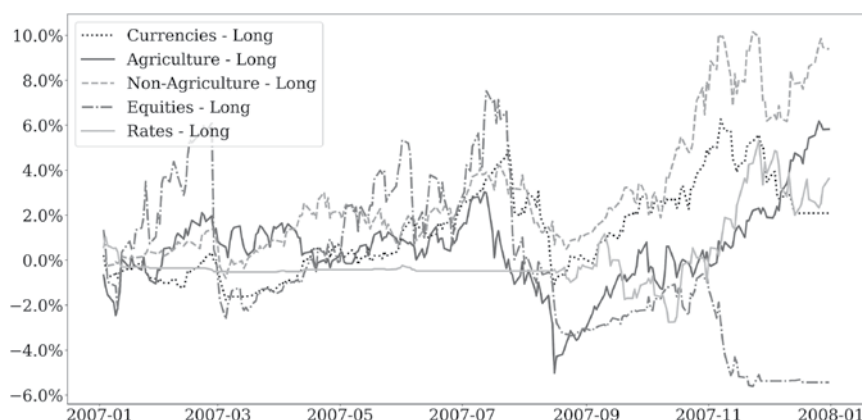


FIGURE 6.34 Long sector performance 2007.